

Energy Perspectives

The Power of the Pump: Politics, Inflation and Muni Credit

The scale of the oil disruption this year has far surpassed that of 2022, implying gas prices may not remain below the Biden-era peak for long. Recent polling, inflation, and toll and airport credit spreads all seem to be discounting the opposite.

Oil market more stressed in 2026 than 2022... Gasoline prices are higher today than at same date in 2022 (+\$0.18/gal), and have risen more since the start of the Iran war than in 2022 (+30%). And for good reason, 13% of global oil supply is offline, versus 3% in 2022, albeit this is offset by lower demand from China.

...While inflation and credit spreads remain more benign. Inflation expectations have not risen as much as in 2022. Neither have toll road and airport credit spreads. Were the 2022 analogy to unfold, inflation from one to two years out (ie, 1y1y CPI swaps) would be well over 3%, while tight spreads of lower-rated toll roads and small and medium-sized airports, especially in tourist-heavy markets, might be vulnerable, given higher fuel prices and the Spirit liquidation.

Persistence matters most. Voters' perceptions of gas price changes may converge to reflect actual price movements, rather than simply correlating with political views. It is the duration of higher gas prices, not the spike, that matters most for the midterm elections and inflation, in our view. National average gas prices last reached \$5/gallon in 2022, after Russia invaded Ukraine in February of that year, but they were not the dominant issue in the midterms, as

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Completed: 14-May-26, 14:06 GMT Released: 14-May-26, 14:10 GMT Restricted - External

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prices had started falling by end-June. For inflation, a 10% persistent increase in gas prices tends to boost headline CPI by 0.2pp within one to two months, while feed-through to core is smaller and takes longer.

Implications. Various policy levers—SPR release, sanctions waivers, the Jones Act waiver, EPA waiver to sell E15, a federal or state gas tax holiday, or export restrictions—could help close the \$1/gal spread between AAA retail gas and Rbob, and help to contain what we believe is a \$5/gal red line for the administration. However, time may have run out for an opening of the Strait Hormuz to prevent 2026 from being worse than 2022.

The politics of gas prices

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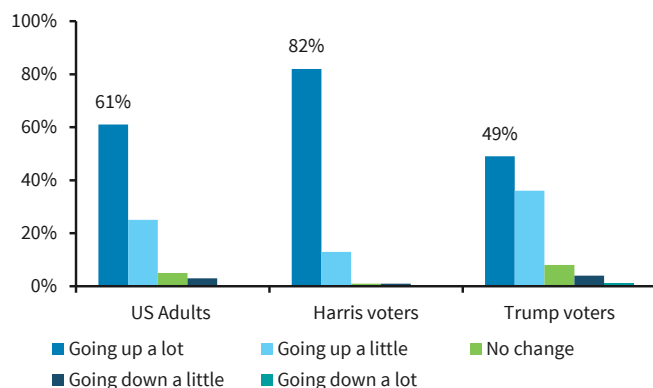
Gas prices have become a political Rorschach test

Recent polling indicates that perceptions of gas price changes track political views more closely than actual movements in price. Americans who say that gas prices have increased "a lot" are much less likely to support President Trump and, by extension, the war in Iran. There is high correlation between support for the war and approval of President Trump. In a recent Economist/YouGov [survey](#), 61% of US adult citizens said gas prices had gone up a lot, but the partisan divide was stark. Only 49% of Trump voters said gas prices had increased a lot, compared with 82% of respondents who said they voted for Kamala Harris in 2024. The divide is even starker when looking at only Republican voters (46% said gas prices had increased a lot) and starkest when you look at only self-identified MAGA supporters (39% said gas prices had increased a lot).

Furthermore, [polling](#) has found little correlation between a state's actual gas price increase and how many of its residents say that prices are going up a lot. Average gas prices have increased in every state, yet respondents in states with the smallest increases were nearly as likely to say prices were going up as respondents in states with the largest increases. Rather, in states with higher and lower price increases, Republicans were significantly less likely than independents and Democrats to say that gas prices had increase a lot.

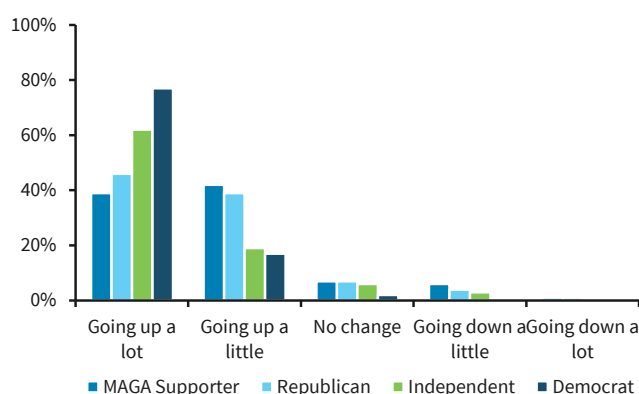
In our view, the partisan split in how people perceive gas prices may be more important than actual pump prices when it comes to the politics of the issue and its midterm election ramifications.

FIGURE 1. By 2024 vote: Are gas prices where you live going up or going down?



Source: Barclays Research, [The Economist/YouGov Poll](#), May 1-4, 2026

FIGURE 2. By political party ID: Are gas prices where you live going up or going down?



Source: Barclays Research, [The Economist/YouGov Poll](#), May 1-4, 2026

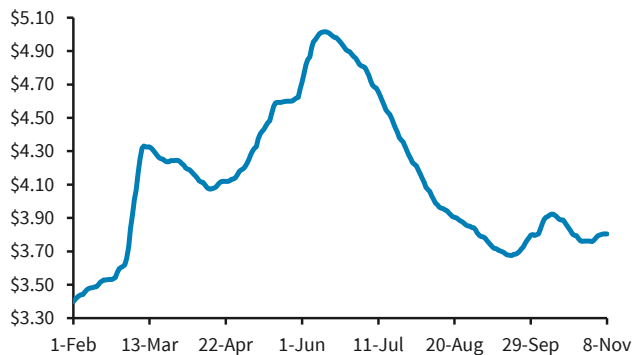
The spike may matter more than the price

After the Iran war began, our view was ([Public Policy: What could end the Iran war?](#)) that a \$5/gallon national average gas price could be a catalyst to end the war because, politically, Republicans might need to keep the price of gas lower than the Biden-era peak. The price peaked in June 2022 at \$5.01/gallon during the Biden administration. On an inflation-adjusted basis, that would translate into \$5.58/gallon today (using CPI-U). Today, the AAA daily national average price per gallon for regular unleaded is approximately \$4.50.

While gas prices reached \$5/gallon in 2022, they were not the dominant issue in the midterm elections, likely because prices had started falling by end-June and by the midterms were only 20 cents higher than before Russia had invaded Ukraine (Figure 3). The price spike lasted about 16 weeks. In the midterms, Democrats outperformed expectations by only narrowly losing control of the House and gaining one Senate seat, as other issues were more important for voters. Exit polls showed the top issues were inflation broadly (31%) and abortion (27%).

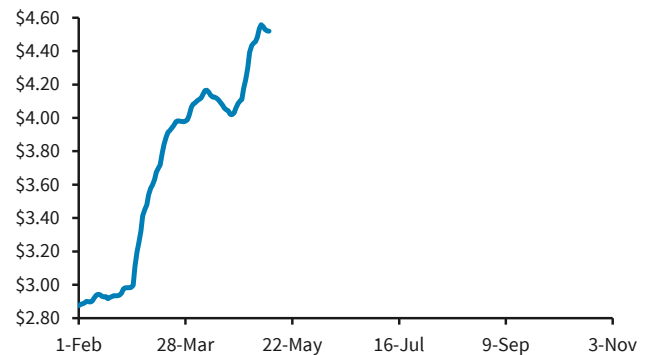
We struggle to see how Republicans can let gas prices get to \$5/gallon and stay there for any prolonged period of time without it being a political headwind going into the midterms. We think gas prices could become a bigger political issue during the summer driving season. Congressional Republicans likely will feel this political pressure most acutely because they are up for election this fall, and President Trump is not. At least at this point, our sense is that Republicans hope the spike ends before voters start to really focus on the midterm elections around Labor Day (similar to the trajectory of the 2022 spike). To date, congressional Republicans have remained supportive of the president's position on the war, as evidenced by the very few Republican defections on the six War Powers Act resolution votes to end the war.

FIGURE 3. Average gas prices before 2022 midterms (\$/gallon)



Daily National Average Gasoline Prices Regular Unleaded. Midterm election was November 8, 2022.
Source: Barclays Research, AAA

FIGURE 4. Average gas prices since Feb 2026 (\$/gallon)



Daily National Average Gasoline Prices Regular Unleaded. Midterm election will be November 3, 2026.
Source: Barclays Research, AAA

If it hits \$5/gallon, the president's tools to bring down gas prices are limited

The administration already has taken several actions in an effort to mitigate the effect of the war on the price of oil, including releases from the SPR (in coordination with largest-ever IEA release), sanction waivers,¹ a Jones Act waiver, and an EPA waiver to sell E15 (a fuel blend of 15% ethanol and 85% gasoline) during the summer driving season (June 1 to September 15). E15 can be tens of cents less per gallon than E0 or E10. In our view, the administration may have few additional tools to put a ceiling on gas prices in the near to medium term, absent reopening the Strait of Hormuz militarily or reaching a deal with Iran. We think the president could jawbone markets and oil companies that report large earnings, similar to his approach with defense companies, to try to actively manage investors' expectations.

We do not think a federal gas tax holiday is likely because relief from it would be modest and it would complicate federal transportation funding (the highway trust fund already runs annual deficits). President Trump has said he supports a suspension of the 18.4 cents/gallon federal gas tax (24.3 cents/gallon for diesel), but this would require congressional action. Trump is not the

¹ <https://ofac.treasury.gov/media/935526/download?inline>

first president to propose a federal gas tax holiday. President Biden most recently proposed suspending the federal gas tax for 90 days after Russia invaded Ukraine. Congress has never suspended the gas tax. An [analysis](#) in 2022 found that the three-month federal gas tax holiday proposed by the Biden administration would have lowered average gasoline spending per capita by only \$5-14 over three months. On average across all states, taxes currently comprise just over 10% of the gas price, but the majority of the taxes are state and local, and as crude oil input prices increase, taxes become a smaller percentage of the price.²

The Highway Trust Fund, which finances most US surface transportation programs—mainly highways and public transit—is funded primarily via the above-mentioned federal gas. As it stands, the CBO expects³ the fund to be exhausted in FY28 by the CBO. Given that the federal gas tax brings in \$36-38bn annually, if the holiday lasted for six months or longer, the Highway Trust Fund will likely run out of money in 1H27. This is another reason why it might not be easy to suspend the federal gas tax.

Another option would be to restrict crude oil exports. The [law](#) authorizes the president to impose restrictions on the export of US crude oil for a period of not more than one year. President Trump and other administration officials repeatedly have said this is not under consideration.⁴ Export controls are not flawless. US gasoline consumption is not self-sufficient because US production is primarily light crude, while many US refineries are configured for heavy crude. The US also lacks the infrastructure to move crude domestically in a cost-effective manner.

There is some movement at the state level. To help their residents and address surging gas prices, a number of states have already introduced, or at least have started to consider, gas-tax holidays. Three states—Georgia, Indiana and Utah—have fully or partially implemented gas-tax holidays, while about ten others are considering them with legislative proposals at various stages. California has already voted against a gas tax holiday, an instead is focused on targeted income-based one-time payments and EV incentives (Figure 5).

FIGURE 5. State Tax Holiday Proposals

State	Action	Current State
Georgia	Active	State motor fuel excise tax suspended (03/20 - 05/01).
Indiana	Active	Suspension of the SUT gas tax (04/08-05/08).
Utah	Active	15% reduction of the state ga tax (04/01-12/31).
Arizona	Proposal	State gas holiday.
Pennsylvania	Proposal	State gas holiday for 2-6mo.
Ohio	Proposal	Draft legislation introduced. Governor opposed.
Florida	Proposal	Legislative discussions. Governor opposed.
New York	Proposal	Legislative discussions. Governor opposed.
Maryland	Proposal	Legislative discussions. Governor opposed.
Alabama	Proposal	State gas holiday introduced.
South Carolina	Proposal	State gas holiday introduced.
California	Failed	A gas tax holiday proposal.

Source: State legislatures, Barclays Research

² NBC News. [The federal gas tax is on Trump's hit list. Data shows how much would be saved without it.](#) May 11, 2026.

³ <https://www.cbo.gov/system/files/2025-01/51300-2025-01-highwaytrustfund.pdf>

⁴ <https://www.bloomberg.com/news/articles/2026-05-08/trump-rejects-need-for-curbs-on-oil-exports-after-trade-surge?sref=62nJWLJJ>

Oil and gasoline price outlook

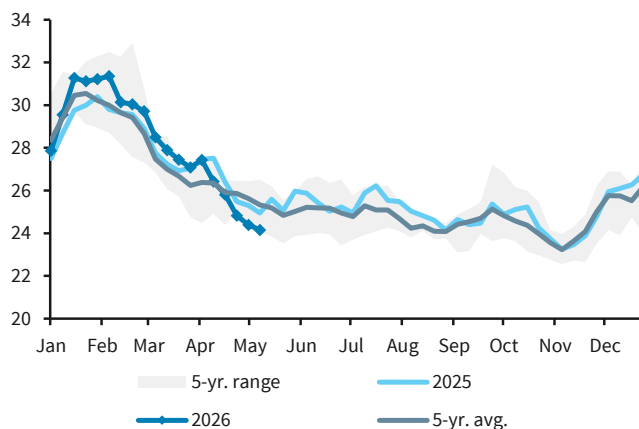
Amarpreet Singh BCI, US

Since the Iran war began, the AAA retail gas price has risen 51%, largely in line with the 51% increase in prompt-month WTI futures, but prompt-month Rbob futures have risen 74% over the same period. This is because SPR, spare capacity and even the potential US supply response are all skewed toward addressing the crude supply issue, but refining capacity has emerged as a bigger constraint.

The sharper increase in wholesale gasoline prices is also an indication that demand has not yet adjusted to the supply situation. US gasoline inventory in days of demand has fallen close to the low end of the seasonal range of late (Figure 6). As inventories continue to draw (Figure 7), we would expect further increase in prices, led by refined products, until either the supply situation resolves or demand adjusts with a lag in a more meaningful way.

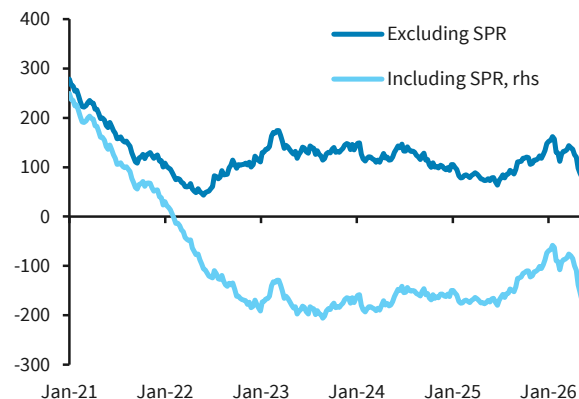
Our [analysis of historical trends in US gasoline demand](#) suggests the roughly 50% increase in retail prices so far will likely lead to a 3-4% reduction in demand over time, which is far from the [scale of supply disruption](#). As things stand right now, we therefore think risks to our [\\$100/b forecast for Brent in 2026](#) are skewed higher.

FIGURE 6. US gasoline demand cover has been shrinking (days of demand)



Note: Weekly stocks/four-week average demand
Source: EIA, Barclays Research

FIGURE 7. US total oil inventories are also drawing fast



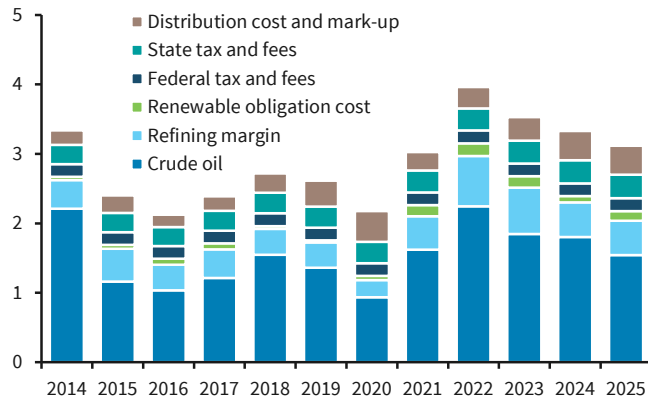
Note: US total oil inventories minus the rolling 20 year seasonal average, mb
Source: EIA, Barclays Research

Retail gas prices in the US seem closer to reaching \$5/gal than they might appear. They are lagging prompt Rbob futures by a couple of weeks, and the spread between the two has been growing over the past few years (Figure 8). In 2025, the AAA average retail gas price exceeded average prompt Rbob futures by \$1.08/gal. During the first four months of this year, the spread has averaged \$1.09/gal. In 2022, it averaged \$0.99/gal, and in 2019, it averaged \$0.89/gal. Considering the trends in components driving the retail gas-Rbob futures spread, we think current Rbob prices (\$3.62/gal at the time of writing) would be consistent with retail gas prices in the US rising to \$4.70/gal in the next couple of weeks.

Our breakdown of the \$1.08/gal spread between AAA retail gas and Rbob last year shows that taxes made up \$0.52/gal, with federal taxes at \$0.18/gal and state and local taxes at \$0.34/gal. Renewable volume obligations, or the cost of compliance with the EPA's biofuel mandate, contributed \$0.14/gal to the spread, and the rest was distribution and marketing costs, along with retail mark-up (Figure 9). The federal gas tax has been unchanged for more than three

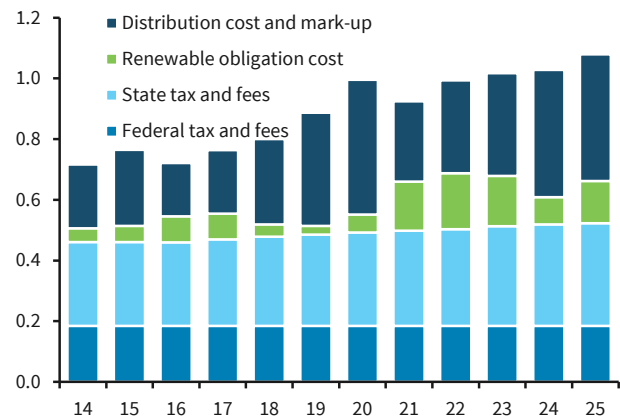
decades, but notwithstanding the recent announcements by a few states, state and local taxes on gasoline have been rising over the past few years.

FIGURE 8. Rbob accounted for 70% of AAA retail gas price between 2021 and 2025, compared with 80% between 2010 and 2014



Note: Breakdown of AAA retail gasoline price in the US, \$/gal
Source: EIA, Argus, Bloomberg, Barclays Research

FIGURE 9. The AAA retail gas and Rbob spread has grown over the years due to higher taxes, rising RVO and distribution and marketing costs

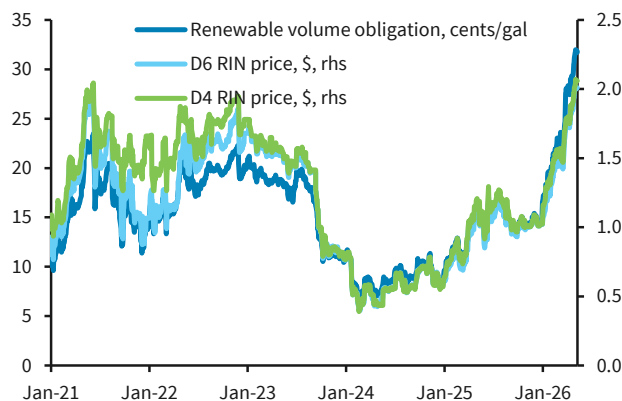


Note: Breakdown of AAA retail gas and Rbob spread
Source: EIA, Argus, Bloomberg, Barclays Research

The renewable obligation cost has also been rising over the past few years and averaged \$0.24/gal during the first four months of 2026 because of the EPA's recent increase in RFS mandates, the ethanol blending wall due to largely stagnant gasoline demand and the convergence between D6 and D4 RIN (Renewable Identification Number) prices (Figure 10).

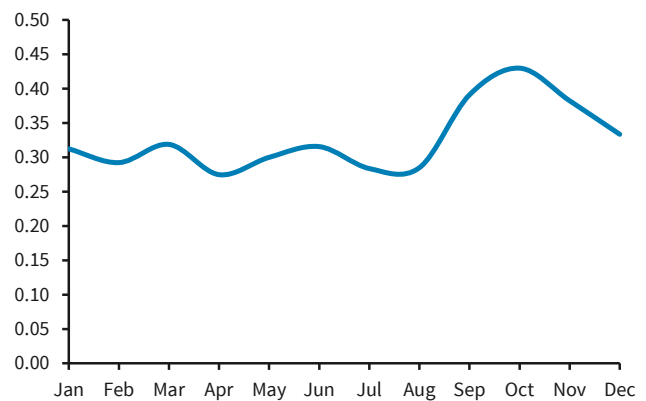
The distribution and marketing component is primarily a function of seasonality in demand, refinery maintenance, mandatory grade switching before the summer driving season and unplanned refinery outages caused by the hurricane season. Historical seasonal patterns suggest it troughs in April, right before the mandatory grade switching for summer, and peaks in late autumn/early winter, coinciding with the peak in the hurricane season (Figure 11).

FIGURE 10. Increase in EPA's RFS mandates has led to a sharp increase in RIN prices of late



Note: Renewable volume obligation is the estimated cost importers and refiners bear for complying with the EPA's RFS mandates.
Source: Argus, Bloomberg, Barclays Research

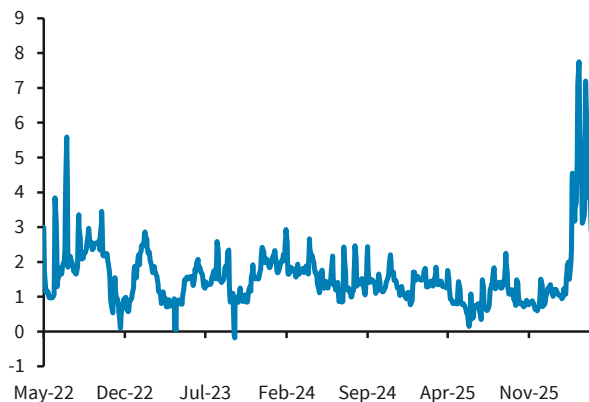
FIGURE 11. Historical trend suggests distribution and marketing costs generally trough in April



Note: Long-term (2016-25) seasonal average estimated gasoline distribution and marketing cost and retail mark up, \$/gal
Source: Barclays Research

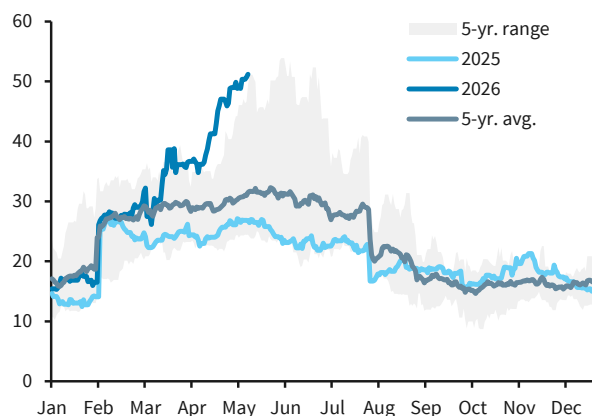
The [onshore leg of the WTI-Brent spread](#) suggests that expectations of a potential crude exports ban have come off recently. The WTI MEH minus WTI Cushing spread, which should ideally reflect the cost of moving crude from the pricing hub at Cushing to the US Gulf coast, averaged \$1.1/b last year, but widened to as much as \$8/b at one point last month ([Figure 12](#)). At \$2.5/b at the time of writing, the spread might compress a bit more if things normalize quickly and the expectations of a potential export ban reduce further. On the other hand, potential federal tax relief could prove counter-productive by delaying the demand response and fuel a further rally in the Rbob crack ([Figure 13](#)), in our view.

FIGURE 12. Onshore leg of the Brent-WTI spread suggests expectations of a crude oil export ban have declined of late



Note: WTI Houston minus WTI Cushing, \$/b, 3dma
Source: Argus, Barclays Research

FIGURE 13. Refining constraints have been harder to address so far, leading to a sharp increase in refining margins



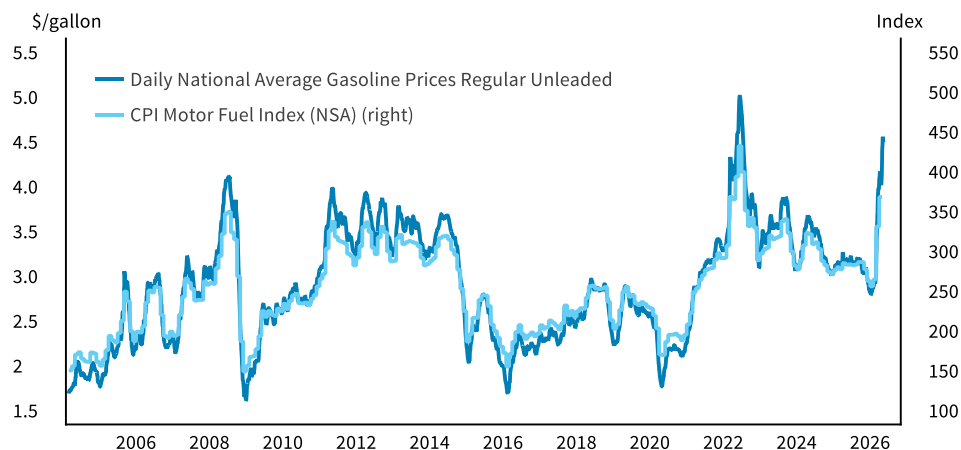
Note: NYH RBOB minus NYMEX WTI
Source: Bloomberg, Barclays Research

Gas prices and inflation risks: What are the channels?

Jonathan Hill, CFA BCI, US

In terms of the risks to US inflation from higher gas prices, there are a few key channels to watch. The first is straightforward, via high gasoline prices into CPI motor fuels, which represents 3.68% of the headline CPI basket (and rising). This is a rapid, predictable and intuitive pass-through the market knows how to track and price, as national average gasoline prices are published daily.

FIGURE 14. AAA gasoline prices vs. CPI motor fuel



Source: AAA, BLS, Macrobond, Barclays Research

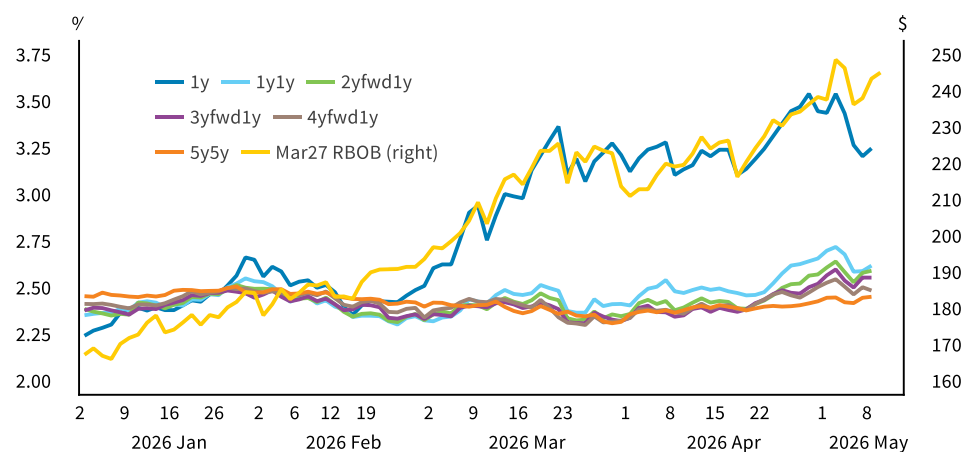
To give a sense of scale, mechanically, were retail gasoline prices to rise from \$4.5/gallon to \$5.0/gallon and stay there, at a high that would be an 11.1% increase on 3.68% of the basket, implying a +41bp impulse to the CPI price index, all else equal (if anything, this is likely an understatement, given that the weight in the basket would likely rise).

To go one step further, the inflation and rates markets can take their cue from commodity markets, specifically gasoline futures (ie, Rboob futures), which have informational content as to the forward path for gasoline, and have a more natural correlation to retail gasoline prices than crude oil. After all, consumers buy gallons of gas, not barrels of oil.

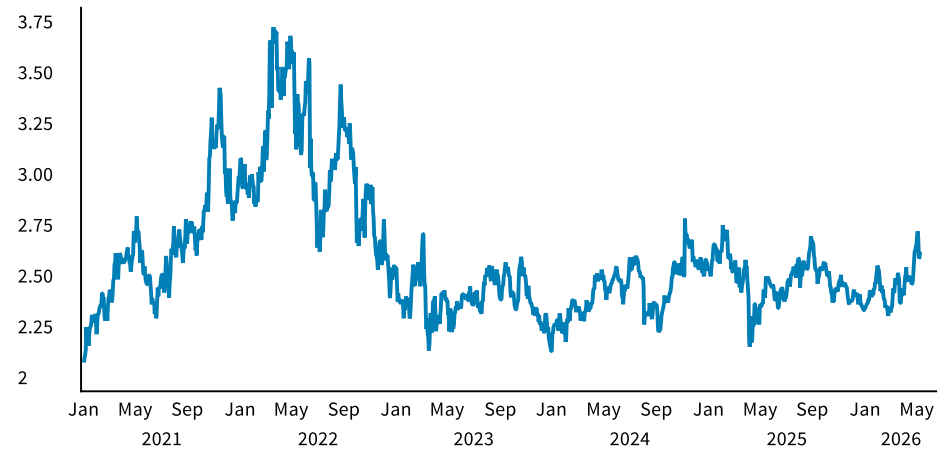
The second channel is what is broadly referred to as second-order effects, which capture not only potential spillovers into core inflation (eg, via jet fuel into airline fares, discussed in more detail [here](#)), but also potential pass-through into food via higher fertilizer prices and/or diesel (which matters for shipping and transportation, as discussed [here](#)). The second-order channel is much more sensitive to how long prices stay elevated, whether inflation expectations begin to shift due to higher energy prices, and whether wages begin to accelerate. After all, it is hard to get a wage price spiral without wage growth. Indeed, the importance of persistence, and generally modest pass-through to core inflation, is consistent with canonical economic models and Barclays' research. As a rule of thumb, a 10% persistent increase boosts headline CPI by 0.2pp within one to two months, while feed-through to core is smaller and takes longer (see [Oil at \\$100/bbl: Peak matters less than persistence](#), March 6, 2026).

Beyond the near-term price consequence in the next few months, however, the message from rates markets is telling. The richening in forwards has been modest, all things considered, and pales in comparison to that seen in 2022. Indeed, four years ago, the market was signaling that headline inflation from one to two years out (ie, 1y1y CPI swaps) would be well over 3%. By contrast, in 2026, that same metric has certainly risen, but even now, at c.2.7%, is not far off pricing from August-September 2025, right before the FOMC restarted rate cuts.

FIGURE 15. 1y CPI swaps have closely tracked forward gasoline futures



Source: Barclays Research

FIGURE 16. 1y1y CPI swaps

Source: Barclays Research

The shape of the Rbob, WTI and Brent futures curves implies near-term inflation, but forward deflation in energy prices. At the time of writing, the WTI futures curve implied crude back below \$80/b (a ~20% decline from spot) as early as Q1 27, and back below \$70/b by 2029. If taken literally, this backwardation implies the opposite of sustained energy price inflation and runs counter to fears of a more sustained and renewed inflation process (we discussed this topic in more detail in [Seriously, but not literally](#), April 30, 2026).

Put together, there is a clear argument for a meaningful inflation impulse resulting from higher near-term energy prices, but uncertainty is pervasive and the dynamics get more complicated, as investors need to weigh the combination of persistence risks, backwardation in commodity curves and the possibility of demand destruction weighing on consumer spending. Indeed, even as Barclays' economists recently raised their near-term inflation forecast and pushed back their rate cut call to March 2027 amid a higher inflation profile, [they now forecast](#) sub-2% headline inflation in H2 27 for both CPI and PCE.

Fuel prices and muni credits

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High energy fuel prices have been affecting municipalities in various ways, but largely the net result has been negative for state residents, as well as some municipal sectors, particularly transportation.

State oil revenues and gas consumption

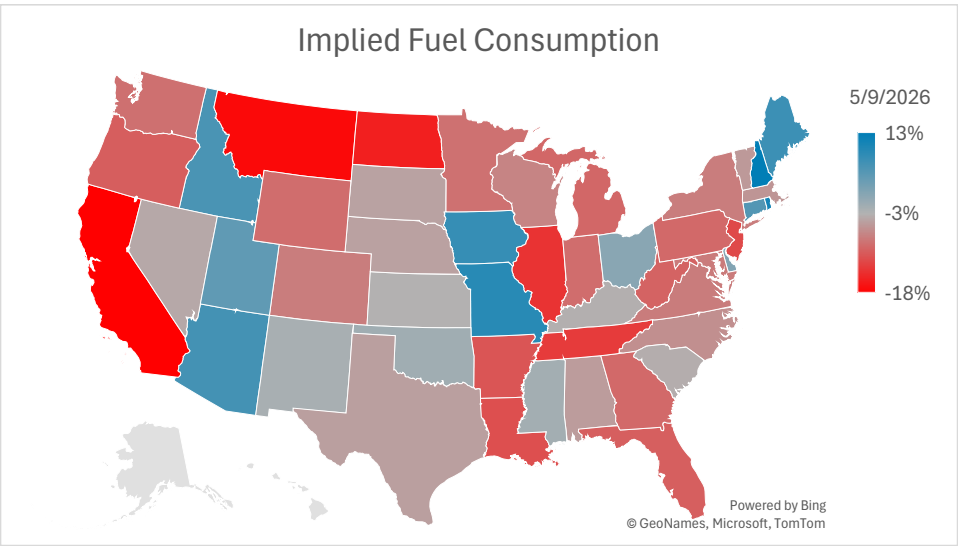
Higher oil prices are not entirely negative and should increase hiring. Oil-producing state and local municipalities should benefit if prices remain elevated long enough for them to start revising budgets and increasing employment. However, oil price increases now result in much smaller job gains than in the past, as producers have been striving for higher productivity or higher output with fewer rigs/workers. The main beneficiaries will likely be the largest oilfield services companies, where even a small uptick could result in large job increases for states such as Texas, Louisiana, Oklahoma and New Mexico. Smaller operations should benefit as well, given that even a marginal absolute increase in jobs should result in a large percentage increase, especially in New Mexico, North Dakota, Wyoming and Alaska.

Contrary to common belief, most states will not benefit from higher gas prices, as they implement excise taxes that rely on fixed cents/gallon levies, rather than ad valorem taxes on

total sales volumes. Yet there are several states that have either implemented state taxes on gasoline or index fuel prices to inflation/wholesale fuel costs, thus benefiting from higher gasoline and diesel prices. These states, including California, Illinois, Indiana, Michigan and Hawaii, should see their fuel tax revenues increase substantially as a result.

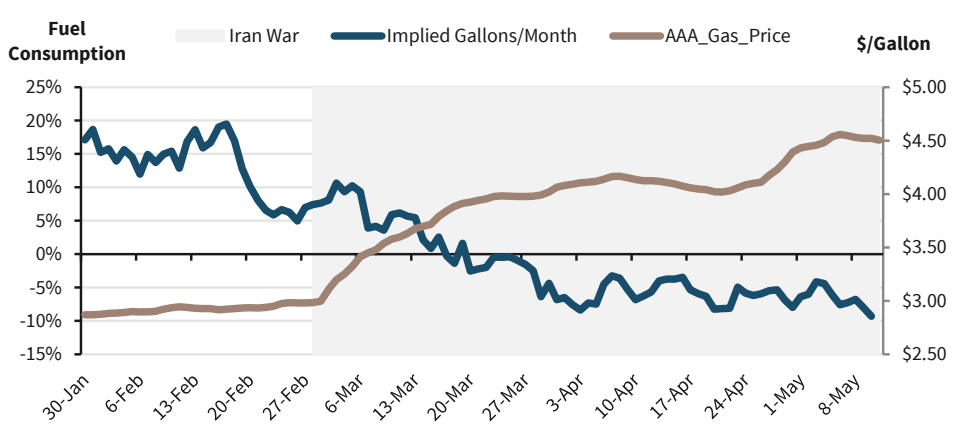
Analyzing our proprietary Barclaycard credit card data, we continue to find evidence of fuel demand destruction amid higher prices this year. Total gallons of fuel purchased is down 9% y/y on a rolling 30-day basis across our US consumer panel as a whole. Underlying this decline, total dollar spending is up 21% y/y, with average fuel costs up 34%, while the number of fill-ups (per month) is down slightly and the number of gallons per fill-up is down 8%. On a state-by-state basis, there is pretty wide dispersion, with California, Montana, Washington, DC, and North Dakota down 15% y/y or more, and New Hampshire and Rhode Island up more than 10%. For more, see the [Appendix](#) below on our [Credit Card Methodology](#) and our ongoing updates on consumer spending changes in our publication series [Tales from the Pump](#).

FIGURE 17. Barclaycard US consumer implied fuel consumption change (y/y) by state



Source: AAA, Bloomberg, Barclays Research

FIGURE 18. Continuing evidence of fuel demand destruction in our credit card data



Source: AAA, Bloomberg, Barclays Research

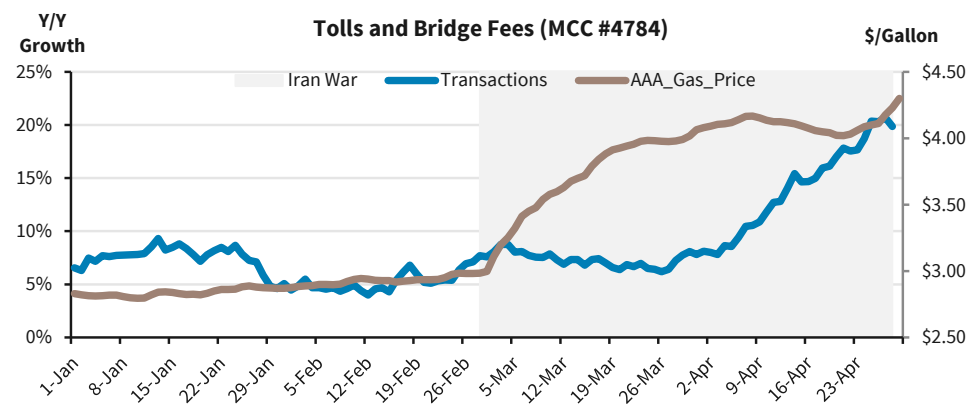
Toll roads: Dangerous turns

Toll roads, including bridges and tunnels, are among the municipal sectors most sensitive to gas prices.

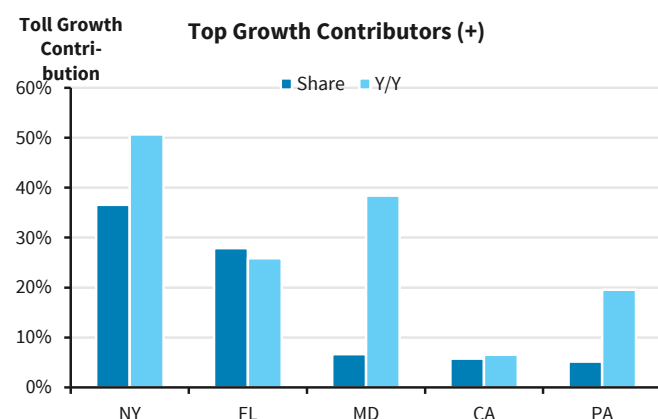
Outside of freight and business traffic, our credit card data give us a lens into consumer driving trends as it relates to toll roads. We use the Merchant Category Codes (MCCs) for "Tolls and Bridge Fees" (#4754), and count the number of transactions, as an approximation of trips and traffic volume, as opposed to spending, which is influenced by pricing changes. The largest merchants include the multi-states EZ Pass in the Northeast, the Florida SunPass, California's FasTrak, and the North Texas Tollway Authority (NTTA).

Overall, toll transactions are up double digits y/y, and have even accelerated since the onset of the Iran war, contrary to what we may have expected, given the decline in implied fuel demand we are seeing from consumers. However, the largest state contributor is New York, which implemented congestion pricing last year and was hit by an outage in the EZ Pass system, effecting comps. Likewise, new roads in other states have either launched service or have transitioned to an entirely electronic toll system. We believe these fundamental changes are overwhelming any signal that higher fuel prices may be having a negative effect on consumer spending at toll facilities.

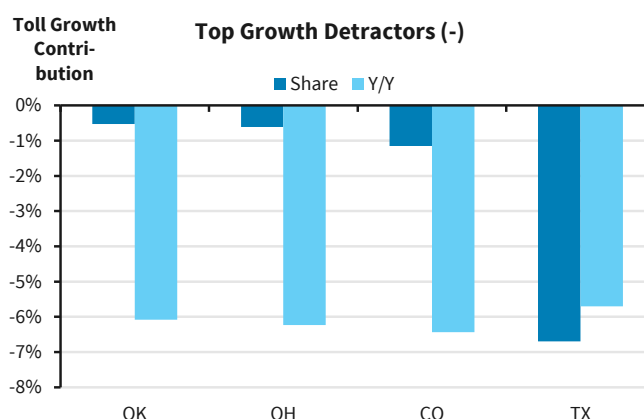
FIGURE 19. Transactions (approximating trips) are up double digits y/y despite higher prices...



Source: Barclays Research

FIGURE 20. ...Due largely to surging transactions in NY (NYC congestion tolls) and Florida...

Source: Barclays Research

FIGURE 21. ...While Texas is a notable detractor for nationwide toll transaction volumes

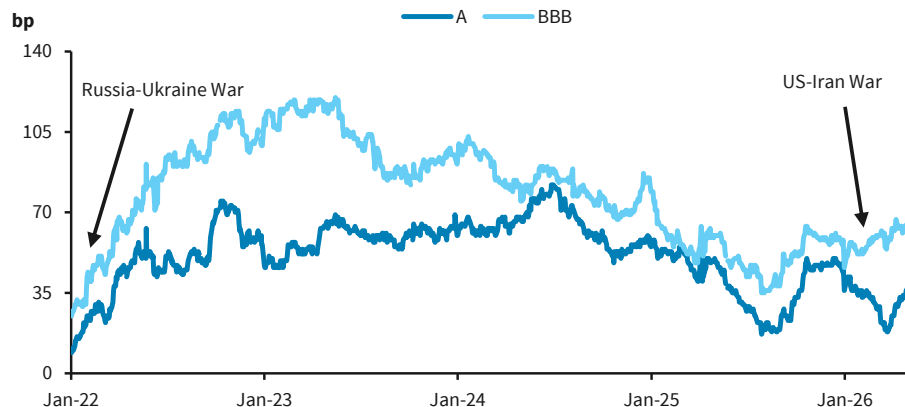
Source: Barclays Research

Our credit card data set that we discussed above does not include freight traffic. In early 2025, shippers pulled forward imports ahead of tariffs, resulting in a sizable increase in traffic (especially for long-haul trucking), which was followed by a sharp drop in Q3-Q4 25. A surge in traffic in H1 25 makes y/y comps rather difficult, even without taking into account higher diesel prices, which also had a negative effect, as well as cargo disruption through ports due to the US-Iran war; freight traffic in California has been underperforming to the largest degree, while the South (including Texas) has been a relative beneficiary and volumes in the Midwest remained relatively stable.

We also need to take into account the fact that toll roads, bridges and tunnels have been steadily growing toll revenue, and automatic increases—either fixed escalators or indexed to CPI—have become standard across the country. Revenue growth has been outpacing traffic growth by a wide margin, which has helped partially offset potential revenue losses due to moderating traffic volumes.

By region, toll revenue in the Northeast has been growing faster than in other areas. This is partially skewed by large toll increases implemented by the MTA (up 7.5% in 2026), even excluding its congestion fee. But other toll road systems have also been posting solid 3-4% y/y increases, including Port Authority, NJ Turnpike, Delaware River Joint Toll Bridges and Pennsylvania Turnpike. Sun Belt toll revenue (including Florida, Georgia, Texas, etc.) has been increasing rapidly, but due mostly to higher volume growth and steady CPI increases, rather than aggressive toll hikes (ie, for the NCTA and Florida Turnpike). The Midwest has been the slowest-growing region, as states are trying to keep tolls relatively low, especially compared with the Northeast, and the revenue model is much more truck-dependent than other parts of the country (ie, Illinois Tollway). The West is transitioning to dynamic, congestion-based and managed-lane pricing.

Credit spreads of single-A and BBB toll roads, which represent a large portion of the sector, have barely since the US-Iran war began (Figure 22). Toll road spreads widened significantly in 2022 after the start of the Russia-Ukraine war, but this sector underperformance was also partially caused by the onset of the rate hiking cycle. In any case, we think that that if gasoline prices remain elevated, we could see more spread widening for toll roads and other related credits.

FIGURE 22. Credit spreads of tax-exempt toll road indices

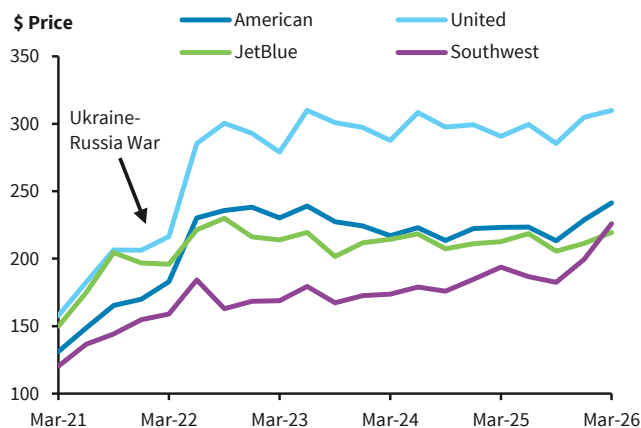
Source: Barclays FI Indices

Airlines and airports: The friendly skies get expensive

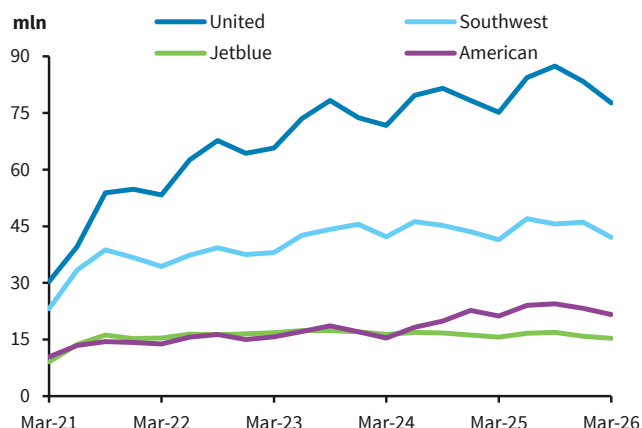
Another municipal sector that has felt the effects of elevated energy prices is airlines and airports. Airports have remained resilient during the conflict, with spreads compressing relative to other transportation sectors despite their exposure to fuel costs. This has come at a time when airlines are facing mounting pressure, including Spirit's recent liquidation and requests from budget carriers for \$2.5bn in federal support to offset rising jet fuel prices.

International airlines pass the cost of fuel directly to their customers. Cathay Pacific, Air France-KLM and Air India have already added substantial jet fuel surcharges to their long-haul flights this year. US airlines do not simply pass through fuel cost increases; instead, they recover them opportunistically through higher fares and tighter capacity, with the degree and timing of pass-through governed primarily by underlying demand. However, these gradual price increases are also inflationary, and they negatively affect consumers.

During the 2022 oil shock on the back of the Russia-Ukraine war, average fare prices increased for all major airlines, although their capacity also continued to rise. This time, we have seen a substantial increase in fares, but airline capacity has declined ([Figure 23](#) and [Figure 24](#)).

FIGURE 23. Average fare price

Source: Bloomberg

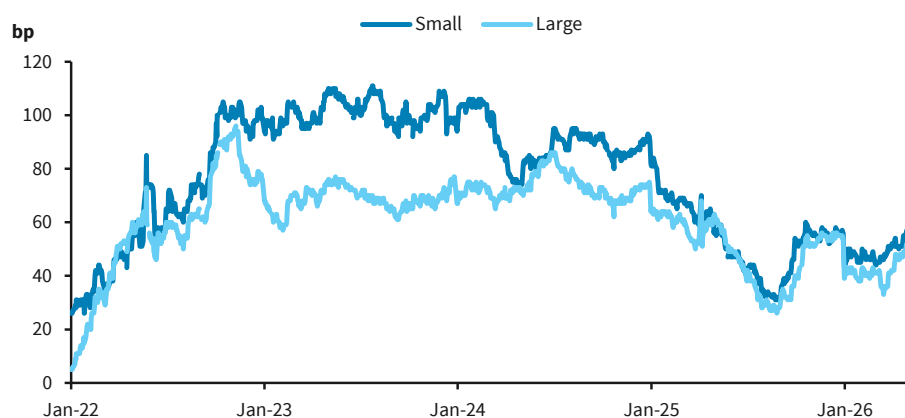
FIGURE 24. Airline capacity (seat miles)

Source: Bloomberg

Assuming fuel prices remain elevated and airlines raise ticket prices and cut capacity, small and medium-sized airports, especially in tourist-heavy markets, would be most affected, particularly those that have greater exposure to low-cost airlines. Airports have very strong cost-recovery mechanisms, so we do not expect widespread credit stress, but rather a retreat in more discretionary travel. Our analysis of most major US airports found that Toledo, Fort Lauderdale, Myrtle Beach, Asheville and Orlando have the highest exposure to low-cost carriers (which include JetBlue, Allegiant, Frontier, the now bankrupt Spirit and several smaller airlines).

When we plot airport spreads going back to 2022, we see that both small and large airport spreads have barely widened, as investors continue to overweight the sector (Figure 25). The richness of smaller airports is especially surprising, as they trade just slightly wider than large airports at the moment. In our view, investors should be a bit more cautious on the sector's prospects, given its rich valuations.

FIGURE 25. Credit spreads of tax-exempt airport indices



Source: Barclays FI Indices

Taking a closer look at Spirit Airlines' recent closure has led to questions about which airlines and airports are most exposed to its routes. A [revenue spill analysis](#) from Barclays' Equity Research discussed Frontier and JetBlue as the airlines most likely to benefit, although most airlines will pick up additional revenue. These airlines are estimated to have a 16.5% and 13.1% overlap with Spirit, respectively, with the next closest being American, at 5.6%. They estimate that this could lead to 5.5% incremental revenue for Frontier and 2.4% for JetBlue. In Figure 26, we highlight airports that are likely to be most affected by the Spirit shutdown. Myrtle Beach (MYR) and Fort Lauderdale (FLL) are by far the airports with the heaviest concentration, with over 30% of enplanements attributable to the airline. The table also shows the lease structure and the expiration year of the current airline agreement.

FIGURE 26. Top 10 airports by ultra- & low-cost carrier enplanements

Airport	Exposure To LCCs and ULCCs
Toledo Express Airport	92.0%
Fort Lauderdale-Hollywood International Airport	57.2%
Myrtle Beach International Airport	49.9%
Asheville Regional Airport	43.2%
Orlando International Airport	36.5%
Palm Beach International Airport	34.5%

Bradley International Airport	31.6%
Boston Logan International Airport	31.5%
Southwest Florida International Airport	30.2%
Ogdensburg International Airport	30.0%

Airlines mainly consist of Jetblue, Spirit, Allegiant, and Frontier.

Source: FAA

Appendix

Josh Grasso^(v) BCI, US

Credit card methodology: Sanity check

Our proprietary Barclaycard credit card data has millions of active users and billions of transactions, going back a decade. We analyze credit card transactions tagged with the Merchant Category Codes (MCCs) for Automated Fuel Dispensers (5542) and for Service Stations (5541), essentially pay at the pump or pay inside. While in-store purchases at service stations include other items besides gas, we also performed this analysis using only Automated Fuel Dispensers and the major conclusion of lower fuel consumption remains the same.

We have access to transaction-level data from our credit credit card panel, but this is restricted to the total dollar transaction amount; we do not explicitly have data on the number of gallons of fuel purchased, or whether it was gasoline or diesel. Therefore, we derive our volume estimates using total spend and average gasoline prices from AAA. Last, we analyze fuel consumption on a y/y basis, given the strong seasonality, especially from February to March, during the transition from the winter to the summer driving season (Figure 6).

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